# Case Study: UPI & Online Payment Fraud

*Digital Ambassador | Module 5 | Task 5 – Part A*

## What Is UPI Payment Fraud?

UPI (Unified Payments Interface) fraud is one of the fastest-growing cybercrimes in India. It involves tricking people into authorising money transfers from their own bank accounts — often without realising what they have approved. Unlike traditional bank fraud that needs your card details, UPI fraud can drain your account using just your mobile number and some psychological pressure.

## A Realistic Scenario — "The Wrong Transfer" Scam

Riya, a 20-year-old engineering student in Bhopal, listed her old laptop for sale on OLX for ₹18,000. Within an hour, she received a call from a man who claimed to be an Army officer posted in Ladakh.

**Step 1 – Building Trust:** The caller was polite and professional. He said he wanted the laptop urgently and asked Riya for her UPI ID to transfer the money right away.

**Step 2 – The Fake Screenshot:** He sent a WhatsApp screenshot showing "₹18,000 sent." Riya saw a pending UPI notification, but no money had actually arrived.

**Step 3 – The Trap:** He told her, "The payment is stuck — just scan this QR code and it'll be released to your account." Riya scanned it. Instead of receiving ₹18,000, she approved a payment request that sent ₹18,000 out of her account.

**Step 4 – Escalation:** When Riya called back confused, he blamed a "technical error" and sent another QR code. She lost an additional ₹5,000 before she realised she was being scammed. The fraudster's number went dead immediately after.

## How This Scam Works — Key Mechanics

- **Fake payment confirmations:** Scammers send doctored screenshots of "money sent." No bank confirms payments this way.
- **Collect requests disguised as payments:** In UPI, scanning a QR code or clicking a "pay" link sends money — it never deposits it. Fraudsters exploit the confusion around receive vs. pay.
- **Urgency and authority:** Posing as Army officers, doctors, or government officials creates pressure to act fast without thinking.

## Who Is Usually Targeted?

- Students and young adults selling items on OLX, Quikr, or Facebook Marketplace
- First-time UPI users unfamiliar with how collect/request flows work
- People in urgent financial situations who are more likely to act without pausing
- Small shop owners and freelancers who regularly accept digital payments

## Consequences

- **Financial:** UPI transactions approved by the user are nearly impossible to reverse. Victims lose money instantly.
- **Emotional:** Shame and embarrassment often stop victims from reporting the crime, allowing fraudsters to continue targeting others.
- **Academic and social impact:** Students who lose tuition savings or money from a part-time sale face real setbacks that affect their studies and mental well-being.
- **Legal complexity:** Many victims don't know how or where to report. Cybercrime portals are available but underutilised.

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*Note: This is a realistic composite scenario based on fraud patterns documented by the National Cyber Crime Portal (cybercrime.gov.in) and widely reported by Indian media (2023–2025). No real individuals are identified.*